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Global AI Trend Tracker

Global Markets Research
31 July 2026

EQUITY: TECHNOLOGY

Amazon's 2Q26 earnings read through

Quick Note

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Amazon (AMZN US, Not rated) reported its 2Q26 (Jun-quarter) earnings on 31 July after the US market close, and management hosted an earnings call on the same day. Management discussed AWS's AI chips, development of its Agent platform and AI applications, as well as ROI and demand outlook for FY28F. **Capex increased 51.5% y-y to USD54.2bn** in 2Q26, and management **raised FY26E capex guidance from USD200bn to USD220bn, due to increased cost of memory**.

According to management, AWS Cloud could achieve **USD1tn annual revenue business in the long run, and some capacity for 2028 has already been booked.** We think the solid revenue growth of AWS Cloud business and continued robust demand for cloud capacity, until 2028F in our view, should ease market concerns about excessive AI infra investment, while managements' comments on ROI (**less than three years to reach its break-even point on server & networking equipment investment**) should help soothe negative market sentiment. We like global optical transceiver leader Zhongji Innolight (300308 CH, Buy), and major PCB / CCL suppliers such as Shengyi Tech (600183 CH, Buy) and Shengyi Electronics (688183 CH, Buy). Here are our key takeaways:

2Q26 core business performance

- In 2Q26, AMZN's revenue grew 19.6% y-y to USD200.6bn, ahead of its guidance of USD194-199bn, and 2% above the Bloomberg consensus. Meanwhile, operating profit grew 43% y-y, beating the consensus by 16%.
- **AWS recorded 36.8% y-y revenue growth to USD42.2bn, up 12.4% q-q, beating the Bloomberg consensus estimate by 4%**, while operating margin improved 1.7pp q-q to 39.4%. AWS backlog stranded at USD496bn, growing triple-digits y-y, and AWS reached USD169bn ARR.
- For 3Q26E, management guided for USD197-202bn in revenue (+9-12% y-y) and USD22.5-26.5bn in operating income.
- **Capex increased 68.4% y-y to USD54.2bn in 2Q26, primarily related to AWS and generative AI to support strong customer demand.**

AI infra and AI monetization progress: AWS capacity has been reserved until 2028F; chips business now has an ARR of over USD25bn; AI revenue run-rate is over USD25bn

- Graviton chip is offering up to 30% to 40% better price performance than other options, according to management.
- In addition to Anthropic (Unlisted) and OpenAI (Unlisted), there is an increasing number of AI start-ups are also adopting Trainium, such as Neurobotics (Unlisted), Odyssey (Unlisted), and others.
- Graviton is used by 98% of AWS's top 1,000 EC2 customers. The **revenue commitments have increased nearly 3x q-q** and Graviton 5 is growing nearly 2x faster as Graviton 4 did.
- **Chips business now has an ARR of over USD25bn**, growing triple-digit percentage y-y.
- For servers and networking equipment, on average, it takes a little less than **three years to break even on that investment**.

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- The servers currently have a **useful life of at least five to six years** and most of the company's AI capacity is being contracted for at least five-year terms, which means the company could drive significant free cash flow on the servers and network of equipment in the two to three years after break even, according to management.
- AWS's data centers have **30-plus-year useful lives**; the company should get at least five to six generations of server economics.
- In its previous call, management expected to double the company's power capacity by the end of 2027 from that in 2025. It continues to be on that track. In addition, **the majority of capacity in 2027 has largely been reserved, while some has also already been reserved for 2028.**
- **AI revenue run-rate is over USD25bn**, growing triple-digit percentage y-y.
- Management thinks the capex of USD220bn will still **not meet all the demand AWS have in 2026**, and it believes this dynamics will remain in 2027. Management also notes **demand for AWS in 2028 is striking,** and believes it is possible to reach a **USD1tn annual revenue business in the long run**.

Fig. 1: Amazon – 2Q26 earnings summary

Unit: USD mn		1Q26	2Q26	2Q26E previous company guidance	3Q26E company guidance	2Q26E (BBG)	Actual vs BBG Cons
Revenue		181,500	200,606	194~199bn	197~202bn	196,969	2%
	y-y %	16.6%	19.6%	16~19%	9~12%		
	q-q %	-14.9%	10.5%				
Gross Profit		94,037	104,828			103,033	2%
	Gross margin %	51.8%	52.3%				
Operating profit		23,852	27,461	20~24bn	22.5~26.5bn	23,580	16%
	Operating margin %	13.1%	13.7%				

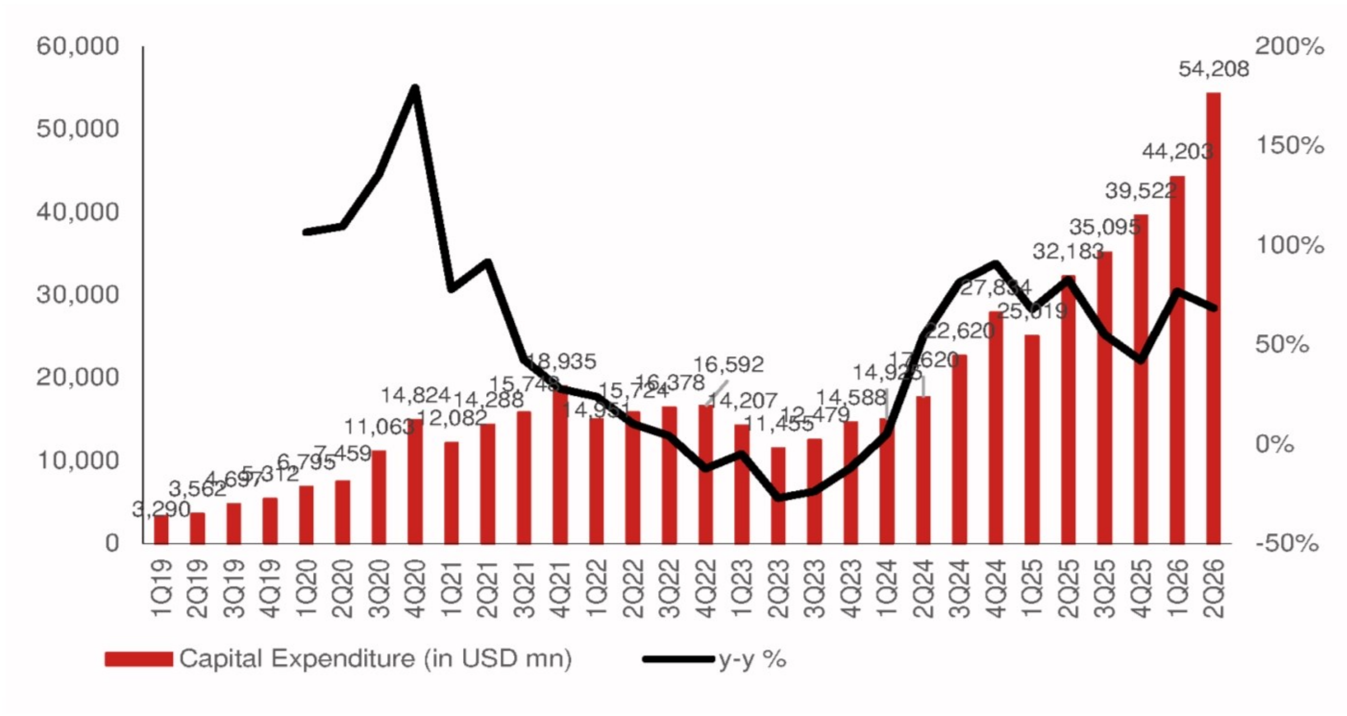
Source: Company data, Nomura research

Fig. 2: Amazon – 2Q26 segment breakdown

Unit: USD mn		1Q26	2Q26 actual	2Q26E	Actual vs BBG Cons
North America sales		104,143	116,177	113,951	2%
	y-y %	12.1%	16.1%	13.9%	
	q-q %	-18.1%	11.6%	9.4%	
International sales		39,789	42,197	42,711	-1%
	y-y %	18.7%	14.8%	16.2%	
	q-q %	-21.6%	6.1%	7.3%	
Amazon Web Services (AWS)		37,587	42,232	40,538	4%
	y-y %	28.4%	36.8%	31.3%	
	q-q %	5.6%	12.4%	7.9%	
North America Operating Profit		8,267	9,123	8,499	7%
	Operating margin %	7.9%	7.9%	7.5%	
International Operating Profit		1,424	1,717	1,898	
	Operating margin %	3.6%	4.1%	4.4%	
AWS Operating Profit		14,161	16,621	13,682	21%
	Operating margin %	37.7%	39.4%	33.7%	

Source: Company data, Nomura research

Fig. 3: Amazon – quarterly capex trend



Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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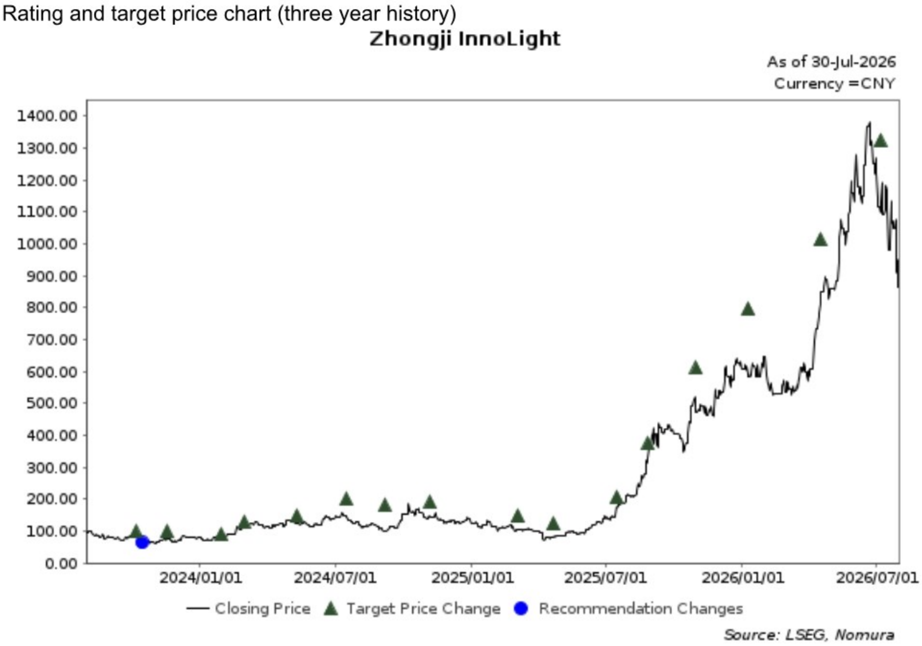
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 864.00	30-Jul-2026	Buy	N/A	
Shengyi Technology	600183 CH	CNY 100.08	30-Jul-2026	Buy	N/A	

Zhongji InnoLight (300308 CH) **CNY 864.00 (30-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
06-Jul-26		1,325.00	1,098.92
16-Apr-26		1,015.00	809.61
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42
06-Oct-23	Buy		82.71
06-Oct-23		98.57	82.71

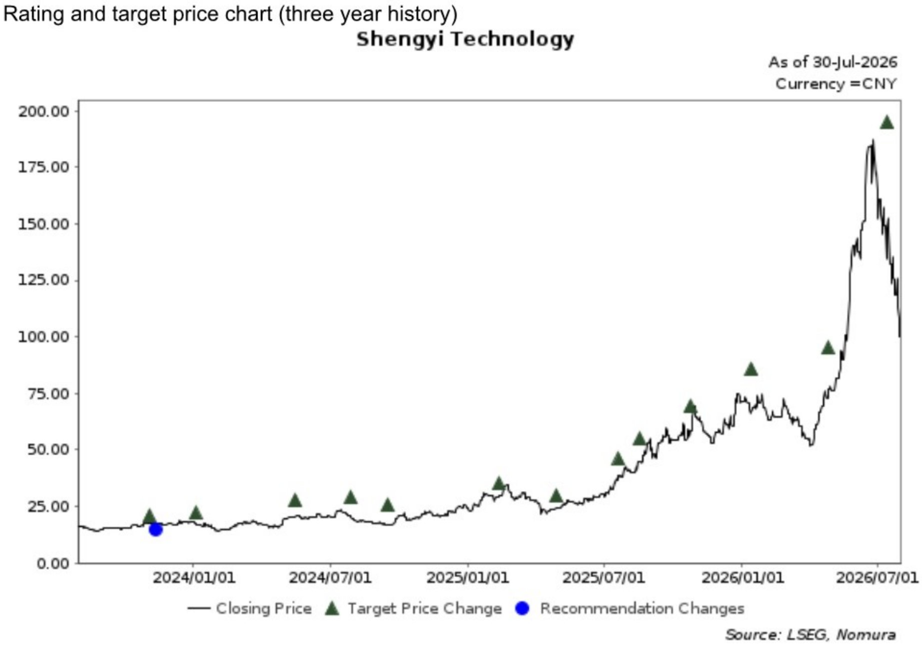
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,325.00 is based on 20x 2027F EPS of CNY66.06, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Shengyi Technology (600183 CH) **CNY 100.08 (30-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
14-Jul-26		195.00	147.90
26-Apr-26		95.00	72.63
14-Jan-26		86.00	66.84
24-Oct-25		69.50	58.50
18-Aug-25		55.00	44.69
21-Jul-25		46.00	38.41
29-Apr-25		30.00	24.11
11-Feb-25		35.00	29.05
16-Sep-24		26.00	17.08
29-Jul-24		29.00	20.24
16-May-24		28.00	20.52
04-Jan-24		22.00	17.25
03-Nov-23	Buy		17.47
03-Nov-23		21.00	17.47

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY195.00 is based on 43x 2027F EPS of CNY4.51, in line with FY26-28F earnings CAGR of 43%. The benchmark index is CSI 300.
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